make nations competitive in the production of certain goods and services. This serves humanity well by engendering trade in different products and services produced by different people. There is also a difference in the development of technologies that provides a comparative advantage. Not every nation can hope to produce all technologies at the same level of competence and master the production of all goods and services.

True self-reliance, in the context of international trade, should only mean that a country is able to earn enough export revenues (on a medium/long-term basis) to pay for the import of the goods and services it needs to meet necessities, and capital goods and consumer requirements. There is no real self-reliance in attempting to manufacture local goods and services as a substitute to meet these requirements.

More often than not, such efforts result in domestic manufacturers being deprived of the right capital goods and technology, leading them to produce shoddy substitutes at high costs. To enable the sale of such poor-quality substitutes, the government ends up spending a lot of money in subsidies and protection of high tariffs. The consumers suffer most.

The belief that a ‘strong’ currency and domestic manufacturing of every good and service is optimal for the national interest is nothing but trade nationalism. Such nationalism appeals to many politicians and political parties, and also strikes a chord with the general populace. Most people are willing to make a sacrifice to serve what they perceive as the national interest, including boycotting foreign goods and consuming poorer and costlier domestically produced goods. This emotion is exploited by the politicians and results in the adoption of policies like the import substitution of the 1950s–1980s and the recent Atmanirbhar Bharat.

Control of Import was India’s Trade Policy Choice in the 1950s

At the time of Independence, India had a good amount of pound sterling reserves. Our planners were also quite aware of the need to import capital